FARMOUT AGREEMENT

This Farmout Agreement is made October 17, 2024 between Ramon C. Trujillo ("Farmor") and Caddo Pine Energy, LLC ("Farmee").

Recitals

Farmor owns the oil and gas leasehold covering Township 16 South, Range 35 East, N.M.P.M., Section 14: NW/4, Lea County, New Mexico (160.00 acres), and Farmee desires to earn an assignment by drilling.

Earning Well

Farmee shall, at its sole cost and risk, commence the Earning Well on or before May 27, 2025 and drill it with due diligence to a depth sufficient to test the Niobrara, or to 8,500 feet, whichever is shallower (casing point).

Earned Acreage and Assignment

Upon completion of the Earning Well as a well capable of production, Farmor shall assign to Farmee the leasehold as to the spacing unit for the Earning Well, insofar as it covers from the surface to the base of the Niobrara.

Reserved Override and Back-In

Farmor reserves an overriding royalty of 3.0%, convertible at Farmor’s election after Payout to a 25% working interest (a back-in), bearing its proportionate share of costs thereafter.

Continuous Drilling

Farmee may earn additional acreage by conducting continuous drilling operations with no more than 120 days between the completion of one well and the spudding of the next.

FARMOR: Ramon C. Trujillo
FARMEE: Caddo Pine Energy, LLC